

Question 1 of 50

_____ allows you to take charge of your spending habits. (1.0 Marks)

- | | |
|-----------------------------------|--|
| ☐ A Borrowing | ☐ B Investments |
| ☐ C Insurance | ☒ D Budgeting |

Question 2 of 50

_____ means spreading one's investments across various avenues in order to reduce risk. (1.0 Marks)

- | | |
|---------------------------------------|--|
| ☐ A Credit Rating | ☐ B Mutual Fund |
| ☐ C Entry Load | ☒ D Diversification |

Question 3 of 50

The phrase "patience pays" is the opposite of _____. (1.0 Marks)

- | | |
|--|---|
| ☒ A Instant Gratification | ☐ B Delayed Gratification |
| ☐ C Opportunity Cost | ☐ D Profit |

Question 4 of 50

What is the meaning of the term "real rate of return"? (1.0 Marks)

- | | |
|---|---|
| ☐ A It Is The Rate Of Return Actually Earned By An Investor On His Fixed Deposits | ☐ B It Is The Dividends Paid By Companies To Shareholders |
| ☐ C It Is What An Investor Earns Over And Above The Expenses Incurred | ☒ D It Is What An Investor Earns After Taking Out The Inflation Effect |

Question 5 of 50

Buying an insurance policy from an insurance company is an example of _____.

(1.0 Marks)

- | | |
|--|--|
| ☐ A Risk Avoidance | ☐ B Risk Retention |
| ☐ C Risk Taking | ☒ D Risk Transfer |

Question 6 of 50

Which is the riskiest investment among these?

(1.0 Marks)

- | | |
|---|---|
| ☐ A Bank Deposit | ☐ B Post Office Monthly Income Scheme |
| ☒ C Stocks | ☐ D Public Provident Fund |

Question 7 of 50

_____ the expected return, generally, higher will be the associated risk. (1.0 Marks)

- | | |
|--------------------------------|---|
| ☐ A Lower | ☒ B Higher |
| ☐ C Median | ☐ D Average |

Question 8 of 50

A portfolio facing uncertainty in returns due to movement of oil price is carrying _____.

(1.0 Marks)

- | | |
|--|---|
| ☐ A Interest Rate Risk | ☐ B Equity Risk |
| ☐ C Liquidity Risk | ☒ D Commodity Risk |

Question 9 of 50

The ability to convert one's investments into cash with ease is called _____.

(1.0 Marks)

- | | |
|--------------------------------|--|
| ☐ A Safety | ☐ B Returns |
| ☐ C Risk | ☒ D Liquidity |

Question 10 of 50

In long term planning such as for retirement, the most important factor due to which household costs go up over time is_____.

(1.0 Marks)

☐ A Deflation

☒ B Inflation

☐ C Return On Investments

☐ D Interest Rates

Question 11 of 50

You travel outstation often for work, there is a high probability that someday you might miss your flight. But you do not buy an insurance for it. This is an example of _____.

(1.0 Marks)

☐ A Risk Reduction

☐ B Risk Transfer

☐ C Risk Avoidance

☒ D Risk Retention

Question 12 of 50

"Earning interest on interest": what concept is being referred to?

(1.0 Marks)

☐ A Simple Interest

☒ B Compound Interest

☐ C Inflation

☐ D Tax Free Interest

Question 13 of 50

Which of the following statements is true about Bonus shares?

(1.0 Marks)

☐ A They Are Issued At A Discounted Price

☐ B Existing Shareholders Pay For Them

☐ C They Are Issued To New Investors

☒ D They Are Issued Out Of Free Reserves And Surplus

Question 14 of 50

Which market phase is associated with economic growth and quick business expansion?

(1.0 Marks)

☒ A Bull Market

☐ B Bear Market

☐ C Stable Market

☐ D Recession Market

Question 15 of 50

What is dabba trading?

(1.0 Marks)

- | | |
|---|--|
| ☐ A A Regulated Form Of Trading On SEBI Recognized Stock Exchanges | ☐ B Trading Done On Official Stock Exchange Platforms |
| ☒ C Placing Deals In Securities Without Actual Execution On Official Stock Exchanges | ☐ D Settling Trades Through Official Stock Exchange Mechanisms |

Question 16 of 50

What does CDSL stand for in the context of securities markets?

(1.0 Marks)

- | | |
|--|---|
| ☐ A Central Demat Securities Limited | ☐ B Central Depository Services (India) Limited |
| ☐ C Central Direct Stock Limited | ☐ D Central Depository Securities Limited |

Question 17 of 50

In Due Diligence, what does "intrinsic value of the share" refer to?

(1.0 Marks)

- | | |
|--|--|
| ☐ A The Company's Total Assets | ☒ B The True Value Of A Share Based On Fundamentals |
| ☐ C The Stock Price On The Day Of Purchase | ☐ D The Voting Rights Associated With Each Share |

Question 18 of 50

What should an investor do if s/he have a dispute with their Stock Broker?

(1.0 Marks)

- | | |
|--|---|
| ☐ A Contact The Stock Exchange Directly | ☒ B Write A Complaint To The Trading Member And Keep Records Of All Related Communications |
| ☐ C Ignore The Issue And Hope It Goes Away | ☐ D File A Complaint With The Government |

Question 19 of 50

What is a securities market index used for?

(1.0 Marks)

- | | |
|--|--|
| ☐ A To Measure How Well Individual Companies Are Doing | ☐ B To Determine The Profits Of A Company |
| ☒ C To Gauge How Well The Securities Market Is Performing Overall | ☐ D To Analyze The Performance Of Mutual Funds |

Question 20 of 50

Which fund type invests in short- and long-term debt instruments? (1.0 Marks)

- | | |
|--|---|
| ☐ A Hybrid Funds | ☐ B Equity Funds |
| ☐ C Open Ended Funds | ☒ D Debt Funds |

Question 21 of 50

What type of properties do managers of REITs typically invest in? (1.0 Marks)

- | | |
|--|---|
| ☐ A Stocks And Bonds | ☐ B Corporate Office Spaces |
| ☐ C Industrial Equipment | ☒ D Immovable And Rent Yielding Properties |

Question 22 of 50

When should the transmission process of securities typically begin? (1.0 Marks)

- | | |
|--|--|
| ☒ A Immediately After The Death Of The Account Holder | ☐ B One Year After The Death Of The Account Holder |
| ☐ C Five Years After The Death Of The Account Holder | ☐ D Only If Requested By The Government |

Question 23 of 50

What does CAS stand for in the context of financial statements? (1.0 Marks)

- | | |
|---|---|
| ☐ A Combined Account Summary | ☒ B Consolidated Account Statement |
| ☐ C Collective Asset Schedule | ☐ D Comprehensive Account Status |

Question 24 of 50

Electronic contract notes can be issued by the broker only with the prior authorisation of the _____. (1.0 Marks)

- | | |
|---|--|
| ☒ A Client | ☐ B Depository Participant |
| ☐ C Banker | ☐ D Stock Exchanges |

Question 25 of 50

What is hedging in the context of investing?

(1.0 Marks)

- | | |
|--|--|
| ☐ A Investing Without Any Strategy | ☒ B Managing Risks By Offsetting Potential Losses |
| ☐ C Speculating On Future Prices | ☐ D Ignoring Market Fluctuations |

Question 26 of 50

Why is it important to understand risks before investing?

(1.0 Marks)

- | | |
|--|---|
| ☐ A Risks Don't Matter | ☒ B To Make Informed Decisions |
| ☐ C Risks Always Lead To Profits | ☐ D Risks Are Imaginary |

Question 27 of 50

Which of the following is NOT an investment product?

(1.0 Marks)

- | | |
|--|---|
| ☐ A Mutual Fund | ☒ B Term Plan |
| ☐ C Exchange Traded Fund | ☐ D National Pension System |

Question 28 of 50

How do ETFs compare to regular mutual funds in terms of liquidity?

(1.0 Marks)

- | | |
|---|---|
| ☐ A They Have Lower Liquidity | ☒ B They Have Higher Liquidity |
| ☐ C They Have The Same Level Of Liquidity | ☐ D Liquidity Does Not Apply To ETFs |

Question 29 of 50

Which of the following is a sign of a possible scam?

(1.0 Marks)

- | | |
|---|--|
| ☐ A Investment Option With No Regulator | ☐ B Huge Amount Of Money Collected In A Short Time Horizon |
| ☐ C Pushing Sales With Limited Time Offer Proposition | ☒ D All Of The Above |

Question 30 of 50

A listed company wants to raise money for expansion through issue of additional shares. What are the ways in which it can do that? (1.0 Marks)

☒ A Rights Issue Or Follow-On Public Offering (FPO)

☐ B Initial Public Offers (IPO) Or Bonus Issue

☐ C Bonus Issue Or Stock Split

☐ D Buyback Of Shares Or By Announcing Special Dividend

Question 31 of 50

Which of the following is NOT considered an Officially Valid Document (OVD) for proving identity and address during the KYC process? (1.0 Marks)

☐ A PAN Card

☐ B Aadhar Card

☒ C Library Card

☐ D Passport

Question 32 of 50

Find one of the advantages of investing through mutual funds: _____. (1.0 Marks)

☐ A Guaranteed Returns

☒ B Professional Management

☐ C Highest Returns

☐ D Custom Made Portfolio

Question 33 of 50

Which among the following has the potential to offer "capital gains"? (1.0 Marks)

☒ A Equity Mutual Funds

☐ B Bank Fixed Deposits

☐ C Public Provident Fund

☐ D Company Fixed Deposits

Question 34 of 50

Which three accounts are required to transact in stock markets? (1.0 Marks)

☒ A Bank Account, Trading Account And Demat Account

☐ B Savings Account, Current Account And Demat Account

☐ C Current Account, Trading Account And Overdraft Account

☐ D Loan Account, Savings Account And Trading Account

Question 35 of 50

What is the NAV (Net Asset Value) of mutual funds?

(1.0 Marks)

- | | |
|---|--|
| ☒ A It Represents A Fund's Per Unit Market Value | ☐ B It Is The Price To Be Paid To Transact On The Stock Market |
| ☐ C It Is A Convenient Mode Of Payment | ☐ D It Is An Opinion About The Company's Share Price |

Question 36 of 50

What is the purpose of a Power of Attorney (PoA) in the securities market?

(1.0 Marks)

- | | |
|--|---|
| ☐ A To Authorize The Client To Operate Demat And Bank Accounts | ☒ B To Facilitate The Delivery Of Shares And Pay-In/Pay-Out Of Funds |
| ☐ C To Provide Legal Advice To Clients | ☐ D To Buy And Sell Shares On Behalf Of The Stock Broker |

Question 37 of 50

How do Ponzi schemes attract new investors initially?

(1.0 Marks)

- | | |
|--|--|
| ☐ A By Offering Consistent And Realistic Returns | ☐ B By Being Registered With Regulators And Government Agencies |
| ☐ C By Providing Complete Transparency In Their Operations | ☒ D By Promising High Returns That Other Investments Cannot Guarantee |

Question 38 of 50

Securities Markets including the exchange traded derivatives markets are governed by which regulatory authority?

(1.0 Marks)

- | | |
|---|---|
| ☐ A Insurance Regulatory And Development Authority Of India | ☐ B Institute Of Chartered Accountants Of India |
| ☒ C Securities And Exchange Board Of India | ☐ D Reserve Bank Of India |

Question 39 of 50

Determining the ability of an investor to bear losses from his investment is done through _____.

(1.0 Marks)

- | | |
|---|---|
| ☐ A Portfolio Rebalancing | ☐ B Asset Allocation |
| ☐ C Goal Setting | ☒ D Risk Profiling |

Question 40 of 50

Why has Systematic Investment Plan (SIP) gained popularity among Indian investors?

(1.0 Marks)

☐ A Focuses On Short-Term Gains

☐ B Helps In Rupee Cost Multiplying

☐ C Aids In Predicting Market Volatility

☒ D Facilitates Disciplined Investing Without Timing The Market

Question 41 of 50

Who benefits from the creation of infrastructure assets through InvITs?

(1.0 Marks)

☐ A Only Developers

☐ B Only Government Entities

☒ C Both Developers And Government Entities

☐ D Neither Developers Nor Government Entities

Question 42 of 50

Which type of Mutual fund generally incurs higher costs?

(1.0 Marks)

☐ A Passive Funds

☐ B Index Funds

☒ C Active Funds

☐ D Exchange-Traded Funds (ETFs)

Question 43 of 50

In terms of investment strategy, passive mutual funds:

(1.0 Marks)

☐ A Rely On Fund Manager Expertise To Pick Stocks

☐ B Use Complex Algorithms To Time The Market

☒ C Follow A Buy-And-Hold Strategy Based On The Index

☐ D Frequently Adjust Their Sector Allocations

Question 45 of 50

Manu is always quick. He believes that investing in the securities market is solely for making quick money. No specific knowledge is required besides receiving good tips from the Internet, telegram channels, and finfluencers. What do you think about manu's approach?

(1.0 Marks)

☐ A Yes, Manu's Approach Is Sound.

☒ B No, Manu's Approach Is Risky And May Lead To Losses As It Is Not Backed By His Independent Research.

☐ C Yes, Manu Is Not Subject Matter Expert So Relying On External Source Of Information Is The Only Way

Question 46 of 50

Radhika, 25 years old, wants to begin her journey of investing in the securities market. Her Stock Broker shares the complete set of mandatory KYC documents with her and asks her to complete the same to enable them to open her trading and demat account. Radhika is reluctant to share her details and complete the regulatory KYC requirements. Does she have an option to refuse information? (1.0 Marks)

☐ A Yes, She Can Refuse To Share Her Details And Still Open Her Account.

☐ B No, She Must Comply With The KYC Requirements To Open Her Account.

☐ C She Can Partially Share Her Details If She Feels Uncomfortable.

Question 47 of 50

Suresh finds differences in the amount calculated by him and that received in his bank account for his trades in the securities market. Manish suggests to refer contract note. Is the suggestion correct? (1.0 Marks)

☐ A No, Since Suresh Has Already Calculated The Profits

☐ B Yes, Contract Note Is The Right Document To Be Referred For All Trade Related Details

☐ C No, Portfolio Summary Would Provide All The Details Required To Ascertain Profits

☐ D Yes, Because Suresh Believes That Manish Is An Expert And Can Never Be Wrong

Question 48 of 50

If market is rapidly falling should I not sell my investments even if it was made with a long-term perspective. Is that beneficial? (1.0 Marks)

☐ A Yes, It's Always Best To Sell During A Market Downturn To Avoid Further Losses.

☐ B No, Panic Selling Often Leads To Selling At Low Prices, Which Can Lock In Losses.

☐ C Yes, Because Holding Onto Investments During A Market Downturn Only Leads To Further Losses.

Question 49 of 50

Are investment tips received from finfluencers or advice available on social media channel is the most go-to method to make money in the stock market? (1.0 Marks)

☐ A Yes, Because They Have Large Followings And Are Experts In The Field.

☐ B No, Because Relying Solely On Tips From Finfluencers Can Be Risky.

☐ C Yes, Because Traditional Methods Like Research And Analysis Are Now Redundant.

Question 50 of 50

Raj, a young professional is a prudent and cautious investor fond of investments. His conservative approach confines his investment choices and he also does not mind nominal return of around 7% p.a. He invests his savings of INR 5,00,000/- in the instrument fetching 7% returns. Will his decision stand the test of time? (1.0 Marks)

☐ A Yes, Raj Is Ensuring Safety And Not Taking Higher Risk

☐ B No, The Real Return May Be Lower Than Nominal Return Which May Be Unable To Beat Inflation

☐ C Yes, Nominal Return Is Good Enough To Beat Inflation

☐ D No, Real Return Should Be Higher Than Nominal Return